The Municipal ERP Replacement Playbook

A step-by-step guide from pain point to go-live
for local government finance leaders

Includes composite case studies, decision frameworks,
cost benchmarks, and implementation checklists

2026 Edition

GovTech
DIAGNOSTIC

govtechdiagnostic.com

Contents

Introduction

Every year, hundreds of municipalities across the United States replace their enterprise resource planning systems. Some of these projects are transformational — they modernize operations, eliminate years of accumulated workarounds, and give staff tools that actually work. Others become cautionary tales — over budget, behind schedule, and delivering a system nobody wants to use.

The difference between success and failure is rarely the software itself. It's the process. Municipalities that succeed follow a disciplined approach: they invest in understanding their own organization before they talk to vendors, they build internal alignment before they spend a dollar, and they plan for the human side of change as carefully as the technical side.

The Numbers That Matter

Metric	Industry Average	Top Performers
Timeline vs. plan	30-50% over estimate	Within 10% of plan
Budget variance	25-40% over budget	Within 15% of budget
User satisfaction at 6 months	45-55% satisfied	75-85% satisfied
Time to full ROI	3-5 years	18-30 months
Post-go-live critical issues	15-25/month (first 90 days)	3-8/month

The gap between average and top-performing implementations is enormous. This playbook exists to put your municipality on the top-performer side. Each of the nine phases includes specific actions, decision frameworks, cost benchmarks, and composite case studies drawn from real municipal ERP projects.

The case studies in this playbook are composites. Names and details have been changed, but every scenario is drawn from patterns observed across hundreds of municipal implementations. If a story feels familiar, that's intentional.

Who this playbook is for

Finance directors, city and county managers, IT directors, and department heads at municipalities, counties, towns, and special districts who are considering, planning, or actively pursuing an ERP system replacement. Whether you're a 5,000-person town or a 200,000-person county, the process is fundamentally the same — the scale and complexity differ, but the phases don't.

PHASE 1

Recognize the Problem

Quantifying the cost of your current system

Most ERP replacements don't start with a strategic plan. They start with frustration. A finance director who can't pull a basic report without exporting to Excel. A payroll clerk entering the same data into three systems every cycle. An auditor flagging reconciliation gaps caused by disconnected software.

The challenge is distinguishing between normal system friction — every system has some — and genuine systemic failure that warrants a multi-year, six- or seven-figure replacement. The following diagnostic helps you make that call.

The Warning Signs Diagnostic

Rate each statement 1-5 (1 = Not at all, 5 = Exactly us). Total above 28 suggests a tipping point.

- **System age exceeds 10 years.** Most municipal ERP platforms have a 7-12 year effective lifecycle. Beyond that, you're running on deprecated frameworks with diminishing vendor investment and increasing security risk. If your system was implemented before 2015, it predates significant shifts in cloud architecture, cybersecurity standards, and mobile access.
- **You maintain parallel systems to compensate.** The clearest sign of system failure: staff has built an ecosystem of spreadsheets, shadow databases, and manual processes around the ERP. If your finance team maintains Excel workbooks that replicate what the ERP should do — tracking grants, reconciling bank statements, managing budgets — the system has failed its core purpose.
- **Reporting requires heroics.** When producing a quarterly financial report for council requires exporting from three systems, manually combining in Excel, reformatting, and triple-checking numbers, that's not a reporting problem. It's a system architecture problem. Modern ERPs produce CAFR-ready reports in minutes.
- **Departments are data islands.** Finance can't see real-time payroll costs. HR doesn't know budget impact of a new hire. Utility billing runs in a separate system with manual journal entries. Every manual handoff is a failure point.
- **Key person dependency is critical.** If one or two people hold all institutional knowledge about the system, workarounds, and data locations, you have a single point of failure. When that person retires, operational continuity walks out the door.
- **Your vendor has stopped investing.** Check release notes. If the last meaningful update was years ago, or the vendor was acquired and is pushing a different product, you're on a platform with limited runway.
- **Compliance is getting harder each year.** GASB standards evolve, cybersecurity insurance requirements tighten, audit firms expect better controls. If meeting these on your current system requires increasing manual effort, the trajectory is unsustainable.

- **Citizens and staff expect more.** Online bill pay, permit applications, employee self-service, and mobile access are baseline expectations. If your system can't support digital services, you're falling behind peers.

■ **CASE STUDY: THE SLOW BURN**

Maplewood, Population 34,000 — A System That Died Slowly

Maplewood's finance team had been running on the same on-premises ERP since 2006. The system technically worked — payroll ran, bills got paid, books closed every month. But workarounds had accumulated to the point where the Finance Director estimated her team spent 35-40 hours per week on tasks the system should have automated: manually reconciling utility billing revenue with the GL, re-entering payroll data from timesheets, building Excel reports because the system's reporting module couldn't produce what council and auditors needed.

The breaking point: their senior accountant — the only person who understood the custom configuration — announced retirement. Six months of knowledge transfer barely scratched the surface. Her replacement inherited 47 Excel workbooks, a binder of handwritten procedures, and a system with no active vendor support.

Outcome: Maplewood fast-tracked replacement, but urgency meant less time for requirements and vendor evaluation. Implementation ran 8 months over and 40% over budget, largely because processes were never documented before they were lost. The lesson: don't wait for a crisis to start planning.

Quantifying the Cost of Inaction

The "it still works" argument collapses when you quantify hidden costs:

Hidden Cost	How to Estimate	Typical Range
Staff workaround time	Hours/week × burdened rate × 52	$40K–$180K/yr
Error correction & rework	Corrections/month × avg hours × rate	$15K–$60K/yr
Vendor support & maint.	Annual fees + ad-hoc support invoices	$20K–$100K/yr
Audit findings & remediation	Auditor hours on control weaknesses	$5K–$30K/yr
Cybersecurity risk exposure	Insurance premiums + breach probability	$10K–$500K+ risk
Delayed decisions	Cost of late budget/financial data	Significant (indirect)

When totaled, many municipalities discover $100,000-$300,000 per year maintaining a system that's actively holding them back. That's money that could fund the replacement.

Pro Tip: Start the Clock Now

Even if you're 12-18 months from an RFP, start documenting pain points, workaround hours, and error rates today. This data becomes the foundation of your business case and gives you a baseline to measure ROI later.

Phase 1 Action Items

- ■ Score your organization on the 8 warning signs (total out of 40)
- ■ Document current pain points with specific examples, not generalities
- ■ Survey department heads: top 3 technology frustrations
- ■ Estimate weekly hours spent on workarounds and manual processes
- ■ Confirm vendor product roadmap, support status, and end-of-life timeline
- ■ Calculate annual cost of inaction using the framework above

PHASE 2

Build the Internal Case

Stakeholder mapping, business cases, and council votes

The most common reason ERP projects stall isn't technology — it's politics. A finance director who understands the need can't move without the city manager's support. The city manager needs council budget approval. Council members need to understand why taxpayer money goes to software instead of roads. Building the case means speaking each stakeholder's language.

The Stakeholder Map

Stakeholder	Primary Concern	Frame ERP As...	Avoid Saying
City/County Manager	Risk, efficiency, strategic goals	Risk mitigation & institutional resilience	"We need new software"
Council/Board	Cost, constituents, trust	Protecting taxpayer data, enabling transparency	Technical jargon or acronyms
IT Director	Security, maintenance, integration	Reducing technical debt and security exposure	"This will make IT's job easier"
Department Heads	Productivity, data access, ease	Eliminating double-entry and delayed data	"You'll need to change your processes"
End Users	Job security, learning curve	Better tools that reduce grunt work	"This will be easy"

Building the Business Case

A 5-8 page document answering five questions is more effective than a 50-page report no one reads:

- **What's the problem?** Lead with quantifiable pain: "Our team spends 35 hours per week on manual workarounds a modern system would automate." Include your cost-of-inaction calculation from Phase 1.
- **What's the risk of doing nothing?** Your most powerful argument. System failure scenarios, cybersecurity exposure, audit findings, key-person departure risk. Council is more moved by "our 18-year-old system could take financial operations offline" than by efficiency gains.
- **What will it cost?** Provide a range, not a single number. Mid-size municipalities (25K-75K population) typically spend $400K-$2M total. Break it down: software 25-35%, implementation 30-40%, migration/training 15-20%, contingency 10-15%.
- **What will we get?** Be specific: "Reduce month-end close from 15 days to 5. Eliminate 3 FTE-equivalents of workaround time. Enable online bill pay that 60% of comparable cities already

offer."

- **What's the timeline?** Show 18-36 months from RFP to stabilization. Council needs to understand this is a multi-year investment.

Cost Benchmarks by Municipality Size

Population	Typical Scope	Total Project Cost Range	Annual Recurring
Under 10,000	Core financials, payroll, UB	$150K–$500K	$25K–$75K
10,000–25,000	Core + payroll + 2-3 ops modules	$300K–$900K	$50K–$120K
25,000–75,000	Full suite: financials, HR, UB, permits	$500K–$2M	$80K–$200K
75,000–200,000	Enterprise: all modules + integrations	$1.5M–$5M	$150K–$400K
Over 200,000	Enterprise + custom + multi-phase	$3M–$15M+	$300K–$1M+

■ CASE STUDY: THE COUNCIL WHISPERER

Cedar Falls, Population 41,000 — How a Finance Director Got a Unanimous Vote

Cedar Falls' Finance Director knew her 14-year-old ERP needed replacement, but council had rejected a technology budget request two years earlier. Instead of leading with software, she reframed the conversation entirely.

She brought three data points: (1) Annual cost of workarounds: $187,000 in staff time from a detailed time study. (2) A letter from the auditor citing two material weaknesses tied to system limitations. (3) A one-page comparison showing 8 of 12 comparable cities in the state had already modernized.

She never used the word "ERP." She said "financial system modernization" and framed it as risk management. She invited the IT Director to address cybersecurity and brought a department head to testify about daily operational impact.

Outcome: Council approved $1.2M unanimously. Project completed on time, 8% under budget. Month-end close dropped from 12 days to 4. The auditor's next letter noted both material weaknesses were resolved.

Phase 2 Action Items

- ■ Map stakeholders and identify each person's primary concern
- ■ Draft 5-8 page business case using the five-question framework

- ■ Calculate total cost of ownership of current system (software + maintenance + workaround hours)
- ■ Research 3-5 comparable municipalities that recently modernized
- ■ Get a written statement from your auditor about system-related findings or risks
- ■ Prepare a 10-minute council presentation with risk-focused framing
- ■ Schedule preliminary conversation with city/county manager

PHASE 3

Assess Your Readiness

The five dimensions that predict implementation success

Before you talk to a single vendor, you need an honest picture of your current state. What systems do you have? How do they connect? Where are the gaps? What data needs to migrate? This work separates smooth implementations from painful ones.

The Five Dimensions of Readiness

1. Technology Readiness

Your systems, infrastructure, and technical baseline.

- How old is your primary financial system?
- How many separate systems across all departments?
- Integration status between systems (automated, manual, none)?
- Current deployment (cloud, on-prem, hybrid)?
- IT infrastructure capacity and cybersecurity posture?

2. Process Readiness

How well-documented and efficient your operations are.

- Are core processes documented or do they live in people's heads?
- How many workarounds compensate for system gaps?
- How long does month-end close take? Payroll? Report generation?
- Are you willing to redesign processes or must the new system replicate current ones?

3. Data Readiness

The quality and portability of your existing data.

- How many years of data exist? How clean is it?
- Can you identify duplicates, orphans, and coding inconsistencies?
- Can your system export in standard formats (CSV, XML)?
- Who understands your current data model?

4. Organizational Readiness

Leadership support, change capacity, and project infrastructure.

- Does leadership actively support this initiative?
- Is there an identified champion with authority?
- How change-resistant is the organization?
- Has a major IT project succeeded here before?

5. Financial Readiness

Budget availability and total cost understanding.

- Is budget allocated or a path identified?
- Have you estimated TOTAL cost (not just software)?
- Accounted for internal costs (project team time, backfill, overtime)?
- Is contingency (10-15%) budgeted?

Take the Free ERP Readiness Assessment

GovTech Diagnostic offers a free, vendor-neutral assessment built for local government. It evaluates all five dimensions and produces a detailed findings report with risk scores and recommendations. No sales pitch.

Start free at govtechdiagnostic.com

■ **CASE STUDY: THE SKIP THAT COST $400K**

Riverton, Population 18,000 — What Happens When You Skip Assessment

Riverton's city manager fast-tracked ERP selection after their IT director departed. They went from "we need a new system" to vendor demos in 6 weeks. No readiness assessment. No process documentation. No data audit.

Three months into implementation, they discovered their chart of accounts had 2,300 segments — many duplicated, dozens unused. The vendor's migration team hit a wall. Utility billing data had 15 years of quirks no current staff understood.

Implementation paused 4 months while Riverton hired a consultant to untangle the COA and clean data. Cost: $180K consulting + $220K in extended vendor charges.

Outcome: Project succeeded but at 60% over budget and 11 months late. Their Finance Director tells peers: "Spend two months on assessment. It saves six months in implementation."

Phase 3 Action Items

- ■ Complete a formal readiness assessment (self or third-party)
- ■ Inventory ALL software across every department with cost, contract dates, and integration status
- ■ Document current-state processes for core functions (month-end, payroll, AP, billing)

- Conduct data quality audit (duplicates, orphans, inconsistencies)
- Identify project champion and potential team members
- Assess change readiness honestly — not aspirationally

PHASE 4

Define Requirements

From pain points to specifications

This is where most municipalities make their first critical mistake: skipping requirements and going straight to demos. Without clear requirements, you choose the vendor with the best presentation, not the best fit. A polished demo tells you nothing about whether the system handles your specific payroll rules, COA structure, or utility billing edge cases.

The Three-Step Process

Step 1: Department interviews (2-3 weeks). Meet with each department. Ask two questions: "What do you do every day/week/month/year?" and "Where does the system make that harder than it should be?" You'll hear the same pain from multiple departments — those are high-priority requirements.

Step 2: Process documentation (2-3 weeks, overlapping). For each core process, document current state and desired state. The gap is your requirements list.

Step 3: Categorize and prioritize (1 week). Resist marking everything Must-Have. If 80% is Must-Have, you haven't prioritized. Target: 25-30% Must-Have, 35-40% Important, 20-25% Nice-to-Have, 10-15% Future Phase.

Functional Areas for Municipal ERP

Core Financial	HR & Payroll	Operations
General Ledger & Fund Acctg Accounts Payable Accounts Receivable Budget Management Purchasing/Procurement Grant Management Fixed Assets/GASB Bank Reconciliation Financial Reporting/CAFR Project/Job Costing	Payroll Processing Timekeeping Benefits Administration Employee Self-Service Recruitment/Onboarding Position Control CBA/Union Rules Retirement Reporting Workers Comp Certification Tracking	Utility Billing Business Licensing Building Permits Code Enforcement Municipal Court Work Orders Fleet Management Parks & Rec Registration Cemetery Management Animal Licensing

Requirements Mistakes to Avoid

- **Describing your current system, not your needs.** "Green 'Split' button in AP screen" specifies a solution. "Support split coding across multiple funds with budget validation" describes a need.
- **Marking everything Must-Have.** Vendors can't differentiate your real priorities. Target 25-30% Must-Have max.
- **Forgetting reporting.** Reporting is the #1 frustration yet the most poorly specified area. For every key report: what fields, what filters, what frequency, what format, who needs access.

- **Ignoring integration requirements.** If keeping court software, GIS, or tax assessment systems, document exactly what data flows between them and the new ERP, in which direction, how often.

Phase 4 Action Items

- ■ Conduct requirements interviews with every department head and key staff
- ■ Document current-state and desired-state for each core process
- ■ Categorize every requirement: Must-Have, Important, Nice-to-Have, Future
- ■ Define integration requirements (what systems stay, what data flows)
- ■ Document top 20 reporting requirements with specific fields and formats
- ■ Have department heads sign off on their requirements section

PHASE 5

Evaluate Vendors

Demos, references, and the fit-vs-flash trap

The municipal ERP market has consolidated, but meaningful differences remain. The right vendor for a 5,000-person town in Idaho is different from the right fit for a 100,000-person city in Texas. Your requirements document keeps evaluation objective.

The Evaluation Scorecard

Category	Weight	What to Evaluate
Functional Fit	35%	Score each Must-Have/Important requirement. Distinguish out-of-box vs. config vs. custom vs. gap.
Implementation	20%	Methodology, team quals, timeline, training plan, migration approach. Who does the work?
Total Cost (TCO)	15%	5-year and 10-year TCO including everything. Lowest gets full points; others proportional.
Municipal Experience	15%	Municipal client count, your-state experience, similar-size references, financial stability.
Technology	10%	Cloud options, security certs, API/integration, mobile, release cadence.
Demo Performance	5%	Response to YOUR scenarios (not canned demo), UI quality, team knowledge.

Running Effective Demos

- **Script demos around YOUR workflows.** "Process bi-weekly payroll for 180 employees across 3 unions with different pay scales, step increases, and PERS retirement." Force vendors to show real capability.
- **Bring power users.** The people who use the system daily will catch gaps management won't.
- **Score in real-time.** Collect individual scores immediately after each demo, before group discussion.
- **Ask about weaknesses.** "Where are your competitors stronger?" and "What do customers most request that you haven't built?"

Reference Calls That Matter

Get 3 vendor-supplied references AND independently find 1-2 municipalities the vendor didn't suggest.

- How long did implementation take vs. projection?
- What was your biggest surprise?
- What workarounds did you have to build that you didn't expect?
- How responsive is support? Average ticket resolution time?
- What would you do differently? Would you choose this vendor again?

■ **CASE STUDY: THE DEMO TRAP**

Westbrook, Population 26,000 — The Best Demo Doesn't Mean the Best Fit

Westbrook saw five demos in two weeks. One vendor stood out — polished UI, engaging presenter, impressive dashboards. Committee scored them #1 by a wide margin.

What the demo didn't show: zero clients in their state, no experience with their retirement system (PERS), and the utility billing module was a third-party integration, not native. During implementation, UB integration required $140K in unplanned customization, and PERS reporting took 3 months because the vendor had never done it.

Outcome: The #2 demo vendor had 40 state clients and native utility billing — would have been faster, cheaper, less painful. Score on fit, not flash.

Phase 5 Action Items

- ■ Research vendors serving municipalities your size in your state
- ■ Build weighted evaluation scorecard aligned to YOUR priorities
- ■ Develop 5-8 scripted demo scenarios from your actual workflows
- ■ Schedule demos with 3-5 finalists (include power users)
- ■ Conduct 2-3 reference calls per finalist including independent references
- ■ Score all vendors on same scorecard before committee discussion

PHASE 6

Procure & Contract

RFPs, timelines, and contract protections

Public procurement adds 4-7 months. Plan for it. If you need to go live July 1, 2027 with 12-18 months of implementation, procurement must start by late 2025.

Procurement Timeline

Activity	Duration	Key Considerations
RFP drafting	3-4 weeks	Requirements, evaluation criteria, pricing structure, timeline expectations
RFP open period	4-6 weeks	Include Q&A; period with published answers to all vendors
Evaluation & demos	4-6 weeks	Committee scoring, shortlisting, scripted demos with 2-3 finalists
Selection & negotiation	3-6 weeks	Contract review, legal, pricing negotiation
Council approval + protest	4-8 weeks	Meeting schedule, agenda slot, state-required protest period

Contract Protections

- **Milestone-based payments.** 15-20% at signing, 30-40% at config complete, 20-25% at go-live, 15-20% after 60-90 day stabilization. Final payment contingent on acceptance criteria.
- **Performance guarantees.** Define "done" with measurable criteria: "Payroll for all employees within 4 hours." "All Must-Have requirements functional at go-live."
- **Annual escalation caps.** Lock maximum annual subscription/maintenance increases at 3-5%.
- **Data ownership.** Full export in standard formats at any time, including termination. Non-negotiable.
- **Termination provisions.** What triggers termination, notice periods, transition assistance, data return.

Contract Red Flag

If a vendor resists milestone payments or acceptance criteria, that signals low confidence in their own delivery. Vendors who've done this before aren't afraid to tie payment to performance.

Phase 6 Action Items

- Review procurement thresholds and statutory requirements
- Draft RFP with requirements as the core (4-6 weeks response time)
- Assemble 5-7 member cross-departmental evaluation committee
- Negotiate contract with legal — never sign vendor's standard terms unmodified
- Build procurement timeline working backwards from target go-live

PHASE 7

Plan Implementation

Teams, timelines, and go-live strategy

Your internal project team is the single most important success factor — more than the software. Team members need real dedicated time, not "25% allocation" on top of their existing 100% workload.

The Project Team

Role	Who	Time	Why It Matters
Executive Sponsor	City Mgr or Finance Dir	5-10%	Removes blockers, resolves conflicts, maintains commitment
Project Manager	Internal or vendor PM	75-100 %	Timeline, budget, scope, risk, communication. Makes or breaks it.
Functional Leads	One per module	25-50%	Configuration decisions. Must have authority AND knowledge.
Data Lead	Sr accountant/ana lyst	50-75%	Cleansing, mapping, migration, validation. Most underestimated role.
IT Lead	IT Dir/analyst	25-50%	Infrastructure, integrations, security, technical testing.
Change Champion	Respected staff member	10-20%	Communication, adoption, resistance management, feedback loop.

Go-Live Strategy

Factor	Big Bang	Phased
Risk	Higher — everything at once	Lower per phase, more total phases
Best for	Smaller orgs, tight integration, limited scope	Larger orgs, broad scope, risk-averse
Timeline	12-18 months overall	18-30 months overall
Typical phasing	All modules on one date	Phase 1: Financials+AP/AR Phase 2: Payroll/HR Phase 3: UB, permits, ops
Staff burden	Intense but concentrated	Spread out but sustained longer

Align Go-Live with Fiscal Year Start

Never go live on financials mid-fiscal-year without extensive parallel. Safest: start of fiscal year. If FY starts July 1, kickoff 12-18 months prior.

Phase 7 Action Items

- Assemble project team with formally committed time percentages
- Arrange backfill for team members' regular duties
- Choose go-live strategy with vendor based on size and risk tolerance
- Set target go-live aligned with fiscal year start
- Develop data migration plan (what data, how much history, cleansing timeline)
- Establish governance: steering committee, meeting cadence, escalation path

PHASE 8

Execute & Go Live

Data migration, training, and the cutover

The Implementation Arc

Phase	Duration	Key Activities	Your Role
Discovery	4-6 wks	Process mapping, gap analysis, configuration decisions	Every functional lead full-time
Configuration	8-16 wks	COA, funds, pay codes, workflows, rules, reports, forms	Leads review/approve each module
Data Migration	6-10 wks	Extract, cleanse, transform, load, validate. 3+ iterations.	Data lead drives. Finance validates.
Testing	4-8 wks	Unit, integration, UAT, parallel processing	End users execute test scripts
Training	3-5 wks	Super-users first, then end-users, role-based sessions	Super-users support vendor trainers
Go-Live	1-2 wks	Cutover, final data load, rapid issue resolution	All hands. Vendor on-site.

Data Migration: The Hidden Monster

Data migration is the most underestimated workstream. It's not moving data — it's cleaning decades of accumulated issues, mapping old structures to new, deciding how much history to bring, and validating every dollar reconciles.

- **How much history?** Usually 3-7 years of detailed transactions. Summary balances for older years. Your auditor can advise on minimum retention.
- **Who cleans it?** YOUR team. The vendor provides tools, but only you know that Vendor #1247 and #1248 are the same company, or that fund 301 was closed but still has orphan transactions.
- **How many iterations?** Minimum 3: initial test, refined after cleanup, final cutover. Each reveals new issues.
- **Parallel processing.** Run both systems for at least one full payroll cycle and one month-end close. Compare line by line. Tedious, essential.

■ **CASE STUDY: THE PARALLEL THAT SAVED $2.1M**

Summit County, Population 52,000 — When Testing Catches the Unexpected

During parallel payroll processing, Summit County's payroll manager noticed the new system total was $2.1M different from the legacy system. Team assumed new system error.

After two days of investigation: the discrepancy was in the OLD system. A tax table loaded incorrectly 18 months prior had caused wrong supplemental pay withholdings for 47 employees. The legacy system had been silently processing incorrect calculations.

Outcome: Parallel processing caught an 18-month-old error. They corrected withholdings, filed amended returns, and went live confident the new system was right. Without parallel, they'd have "fixed" the new system to match the old errors.

Training That Sticks

- **Super-users first (6-8 weeks before go-live):** 2-3 power users per module get intensive hands-on training.
- **End-users (2-4 weeks before go-live):** Role-based sessions. AP clerk doesn't need payroll training.
- **Go-live support (first 2 weeks):** Super-users stationed in each department. Vendor on-site/on-call.
- **Refresher (60-90 days post-go-live):** After real-world use, staff has better questions.

Phase 8 Action Items

- ■ Maintain weekly status cadence with vendor and internal team
- ■ Begin data cleansing early — don't wait for configuration
- ■ Plan 3+ migration iterations with full validation each time
- ■ Run complete parallel processing before cutover
- ■ Train super-users 6-8 weeks before end-user training
- ■ Prepare go-live communication plan for all stakeholders
- ■ Establish rapid-response process (triage <2 hours, resolve <24)

PHASE 9

Stabilize & Optimize

The critical first year post-go-live

Go-live is the starting line, not the finish. Productivity drops temporarily, support spikes, frustration peaks at days 30-60. This is normal. Municipalities that plan for it succeed. Those that don't wonder what went wrong.

The Stabilization Timeline

Days 1-30: Survival Mode. Everything feels hard. Staff is slower. Questions pile up. Your job: keep lights on, resolve issues fast, communicate that this is temporary.

- Daily 15-minute standup to triage issues
- Super-users in every department during business hours
- Issue log tracked publicly
- Weekly all-staff update from executive sponsor

Days 31-90: Confidence Building. Muscle memory develops. Daily questions drop. First month-end close in new system. First quarterly reports.

- Targeted refresher training on weak areas
- Start documenting YOUR procedures (not vendor's generic guide)
- Celebrate milestones: first payroll, first close, first quarter

Days 91-365: Optimization. Leverage new capabilities. Custom reports, automated workflows, self-service portals, Phase 2 modules. ROI starts compounding.

Measuring Success

Metric	Typical Pre-ERP	Target Post-ERP
Month-end close	10-20 business days	3-7 business days
Payroll processing	2-4 days/cycle	4-8 hours/cycle
Report generation	Hours to days (manual)	Minutes (system)
Manual data re-entries/mo	Dozens to hundreds	Near zero
Audit findings (system)	3-8 per audit	0-2 per audit
Staff satisfaction (tech)	30-45% satisfied	70-85% at 12 months

■ **CASE STUDY: THE LONG GAME**

Pine Valley, Population 28,000 — From Worst Day to Best Investment

Pine Valley's go-live was rough. The AP clerk broke down on Day 3 because she couldn't process a vendor credit. IT fielded 47 tickets in week one. The city manager asked the Finance Director if they'd made a mistake.

The Finance Director had planned for this. She'd warned everyone the first 30 days would hurt. Super-users in every department. Daily standups. Weekly updates showing issues resolved vs. outstanding. By Day 45, ticket volume dropped 80%.

At 12 months: close dropped from 14 days to 4. Payroll from 3 days to 6 hours. The AP clerk was now the department's super-user, training new hires. The auditor praised improved controls.

Outcome: Council member who initially voted against: "Best investment we've made in 20 years." Total cost: $1.1M. Estimated annual efficiency savings: $165,000 — full payback in under 7 years.

Phase 9 Action Items

- Maintain elevated vendor support for 90 days (contractual)
- Schedule refresher training at 60-90 days
- Document YOUR procedures in the first 90 days while fresh
- Measure key metrics at 6 and 12 months vs. pre-implementation baseline
- Present results to council at 12-month mark
- Conduct lessons-learned with full project team
- Begin Phase 2 planning if using phased approach

APPENDIX A

ERP Readiness Self-Assessment

25 questions across 5 dimensions. Score each 1-5.

Technology Readiness

- Our primary financial system is more than 7 years old 1 2 3 4 5
- We use 5+ separate software systems across departments 1 2 3 4 5
- Staff frequently re-enters data between systems manually 1 2 3 4 5
- We cannot produce needed reports without exporting to Excel 1 2 3 4 5
- Our vendor has reduced support or investment in our product 1 2 3 4 5

Process Readiness

- Month-end close takes more than 10 business days 1 2 3 4 5
- We rely on spreadsheets for key financial processes 1 2 3 4 5
- Critical processes are undocumented or known only to specific people 1 2 3 4 5
- Cross-department workflows require manual handoffs 1 2 3 4 5
- We have difficulty reconciling data between systems 1 2 3 4 5

Organizational Readiness

- Executive leadership recognizes need for modernization 1 2 3 4 5
- We have an identified champion with authority and credibility 1 2 3 4 5
- Department heads will dedicate staff time to the project 1 2 3 4 5
- Our organization has completed a major IT project successfully before 1 2 3 4 5
- We are willing to redesign processes, not just replicate them 1 2 3 4 5

Data Readiness

- We know how many years of data exist in current systems 1 2 3 4 5
- We've identified known data quality issues (duplicates, orphans) 1 2 3 4 5
- Current system can export in standard formats 1 2 3 4 5
- Staff understands our current data model and relationships 1 2 3 4 5
- We have a sense of what data to migrate vs. archive 1 2 3 4 5

Financial Readiness

- Budget is allocated or a realistic path to budget exists 1 2 3 4 5
- We understand approximate total cost (not just software) 1 2 3 4 5
- We've accounted for implementation, training, migration, and ongoing costs 1 2 3 4 5
- We can fund backfill for project team members' regular work 1 2 3 4 5
- Contingency reserve of 10-15% is or would be available 1 2 3 4 5

Scoring Guide

100-125: High readiness. Move forward with confidence.

75-99: Moderate. Shore up your weakest dimension before proceeding.

50-74: Early stage. Focus on building internal case and alignment first.

Below 50: Foundational work needed. Start with Phases 1-2 of this playbook.

APPENDIX B

Municipal ERP Vendor Landscape

Vendor-neutral overview — verify current offerings directly

Vendor	Products	Deploy	Sweet Spot
Tyler Technologies	Munis, Incode, EnerGov	Cloud/On-Prem	Broadest share. All sizes. National.
CentralSquare	Finance Enterprise	Cloud/On-Prem	Mid-large. Public safety integration.
OpenGov	OpenGov ERP	Cloud SaaS	Cloud-native. Growing fast. All sizes.
Caselle	Clarity	Cloud/On-Prem	Small-mid. Mountain West.
Edmunds GovTech	Edmunds	Cloud	Small-mid. Northeast.
SSI	SSI	Cloud/On-Prem	Small-mid. Southeast.
Harris/NorthStar	Innoprise	Cloud/On-Prem	Utility-focused.
SylogistGov	SylogistGov	Cloud (Azure)	Microsoft-based. Small-mid.
Infor	CloudSuite PS	Cloud (AWS)	Large munis & state agencies.
AccuFund	AccuFund	Cloud/On-Prem	Nonprofits & small gov.
BS&A;	BS&A; Cloud ERP	Cloud	Michigan-focused.

GovTech Diagnostic does not endorse, resell, or receive compensation from any vendor. Last updated Feb 2026.

APPENDIX C

Evaluation Scorecard Template

Adapt weights to your priorities. 1,000-point scale.

Category	Wt	Scoring Method	Max
Functional Fit	35%	Score each Must-Have (0-4) and Important (0-3). Normalize.	350
Implementation	20%	Methodology, team, timeline, training, migration plan	200
TCO	15%	Lowest 5yr TCO = full points. Others proportional.	150
Vendor Quals	15%	Client count, state experience, references, stability	150
Technology	10%	Cloud, security, API, mobile, release cadence	100
Demo	5%	Scripted scenario performance, UI, team knowledge	50

Functional Fit Scoring Key

Score	Meaning
4 — Full	Met out of box, no config or customization
3 — Config	Met through standard configuration (no custom code)
2 — Custom	Requires customization or third-party integration
1 — Workaround	Not native; manual workaround needed
0 — Gap	Cannot be met

APPENDIX D

Total Cost of Ownership Worksheet

Complete for each vendor to ensure apples-to-apples comparison

Cost Category	Yr 1	Yr 2	Yr 3	Yr 4	Yr 5
ONE-TIME COSTS					
Software licensing	$______	—	—	—	—
Implementation services	$______	$______	—	—	—
Data migration	$______	—	—	—	—
Training	$______	$______	—	—	—
Hardware/infra	$______	—	—	—	—
Customizations	$______	$______	—	—	—
Integrations	$______	—	—	—	—
RECURRING ANNUAL					
SaaS/maintenance	$______	$______	$______	$______	$______
Hosting (if applicable)	$______	$______	$______	$______	$______
Add'l support/consulting	$______	$______	$______	$______	$______
INTERNAL COSTS					
Staff time (project team)	$______	$______	—	—	—
Backfill / overtime	$______	$______	—	—	—
Contingency (10-15%)	$______	$______	—	—	—
ANNUAL TOTAL	**$______**	**$______**	**$______**	**$______**	**$______**
5-YEAR TCO					**$______**

Apply 3-5% annual escalation to recurring costs. For SaaS, subscription replaces most one-time licensing. Print per vendor for side-by-side comparison.

APPENDIX E

Data Migration Planning Checklist

The workstream most likely to derail your timeline

Pre-Migration Planning

- ■ Inventory all data sources (ERP, spreadsheets, shadow databases, paper files)
- ■ Determine history depth: how many fiscal years of detail to migrate
- ■ Identify data owner for each module area (who validates accuracy)
- ■ Define acceptance criteria: what does "successful migration" look like?
- ■ Establish data freeze date: when does the old system stop accepting new data?

Data Cleansing (Start EARLY)

- ■ Chart of Accounts: identify and merge duplicate segments, close unused accounts
- ■ Vendor file: deduplicate, verify TINs and W-9s, update addresses, merge aliases
- ■ Employee records: verify SSNs, addresses, tax withholdings, pay rates, benefit elections
- ■ Customer/utility accounts: merge duplicates, verify service addresses, validate meter data
- ■ Open items: clear old outstanding POs, stale encumbrances, aged AP/AR
- ■ Fixed assets: reconcile asset register to GL, verify depreciation schedules
- ■ Historical transactions: validate period balances tie to audited financials

Migration Execution

- ■ Test load #1: Initial migration into sandbox environment. Expect significant issues.
- ■ Validate #1: Run trial balance. Compare to legacy. Document every discrepancy.
- ■ Clean and adjust: Fix source data issues discovered in test load #1.
- ■ Test load #2: Second migration with cleansed data. Issues should be significantly reduced.
- ■ Validate #2: Trial balance + spot-check transactions. Department leads verify their data.
- ■ Test load #3 (if needed): Additional iteration for complex areas.
- ■ Final cutover load: After data freeze date. Last data from legacy into production.
- ■ Final validation: Trial balance must tie to legacy within acceptable tolerance (typically $0).
- ■ Sign-off: Data owner for each module formally approves migration accuracy.

Common Data Migration Pitfalls

- **Starting too late.** Data cleansing should begin months before configuration is done. It always takes longer than expected.

- **Assuming the vendor will clean your data.** They provide tools and templates. You do the work. You know your data.
- **Migrating everything.** Not all data needs to move. 20-year-old closed POs? Archive, don't migrate.
- **Insufficient validation.** "The numbers look close enough" is how you get audit findings in year one.
- **No data freeze plan.** If staff keeps entering data during cutover, you get a moving target.

GovTech
DIAGNOSTIC

Ready to Assess Your ERP Readiness?

GovTech Diagnostic provides a free, comprehensive ERP Readiness Assessment built specifically for local government. Our vendor-neutral diagnostic evaluates your organization across all five dimensions and delivers an actionable report with findings, risk areas, and recommended next steps.

Start your free assessment at govtechdiagnostic.com